Sector Underwriting Note: IT Services

ASHVA CAPITAL CREDIT POLICY MANUAL
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ISSUING AUTHORITY: OFFICE OF THE CHIEF CREDIT OFFICER

9.1. SCOPE AND APPLICABILITY 9.1.1. This Sector Underwriting Note applies to all credit applications submitted under the IT Services, Managed Services Provider (MSP), Custom Software Development, and Technology Staffing SME categories (NAICS 541511, 541512, 541513). 9.1.2. The standards set forth herein supersede general SME underwriting parameters where stricter, and bind all Underwriters, Risk Managers, and Sanctioning Committees across Ashva Capital.

9.2. PORTFOLIO EXPOSURE LIMIT 9.2.1. Sector Exposure Cap: The maximum aggregate credit exposure to the IT Services SME sector shall not exceed 16.5% of Ashva Capital’s Total Gross Loan Book at any given time. 9.2.2. Should sector exposure cross 14.0% (Warning Threshold), the Credit Risk Officer shall trigger a monthly review, and single-borrower sanction limits shall automatically reduce by 20.0% across all approval levels. 9.2.3. No single IT Services borrower entity (including connected group entities) shall hold an exposure exceeding INR 45.0 Million (or foreign currency equivalent) without written approval from the Credit Risk Committee (CRC).

9.3. WORKING CAPITAL CYCLE BENCHMARKS 9.3.1. Underwriters must assess working capital suitability against the IT Services sector baseline metrics outlined below: * Days Sales Outstanding (DSO): Standard baseline is 78 days. Maximum permissible DSO for borrowing eligibility is 85 days. * Days Payable Outstanding (DPO): Standard baseline is 18 days (reflecting rigid monthly payroll obligations). * Net Working Capital Cycle: Established at 60 days [78 DSO - 18 DPO].

9.3.2. Because software SMEs have negligible DPO capability (payroll cannot be stretched), working capital facilities must explicitly fund the liquidity gap between bi-weekly/monthly salary disbursements and 60-to-90-day enterprise billing cycles.

9.4. SECTOR-SPECIFIC DEBT SERVICE COVERAGE RATIO (DSCR) 9.4.1. While Ashva Capital’s standard SME baseline DSCR requirement is 1.25x, the IT Services sector carries high operating leverage and inflexible payroll cost structures. Therefore, the minimum DSCR floor for IT Services SMEs is established at 1.38x. 9.4.2. For borrowers operating under fixed-price delivery contracts representing >30.0% of total revenue, the required DSCR floor increases to 1.45x. 9.4.3. DSCR calculation must exclude non-cash unbilled revenue gains and must be tested against audited trailing twelve-month (T12M) net operating cash flows.

9.5. SEASONALITY ADJUSTMENTS & STRESS TESTING 9.5.1. Q4 / Q1 Cash Flow Haircuts: IT Services firms routinely experience cash flow compression in Q4 (December client holiday shutdowns/furloughs) and Q1 (delays in enterprise IT budget renewals). 9.5.2. Underwriters shall apply a mandatory 15.0% stress haircut to projected cash inflows for the quarters ending December 31 and March 31 when modeling debt service ability. 9.5.3. Foreign Exchange Stress: For borrowers deriving >40.0% of revenues from foreign currencies (USD/EUR/GBP) without formal hedge accounting, cash flows must be stress-tested against an unhedged 8.5% adverse currency movement relative to the base currency.

9.6. PRIMARY CAUSES OF DISTRESS IN IT SERVICES SMEs Underwriters must specifically evaluate and document mitigants for the two primary drivers of sector default:

9.6.1. Cause 1: Client Concentration & Sudden Contract Non-Renewal
* *Mechanism:* Sudden termination or non-renewal of a master services agreement (MSA) by a single dominant enterprise client leaves the SME with unabsorbed headcount overhead.
* *Policy Mandate:* Underwriters must review top-5 client billing contributions. Loss of the largest client must be stress-tested to prove the borrower remains cash-flow neutral after a maximum 60-day staff bench rationalization period.

9.6.2. Cause 2: Scope Creep on Fixed-Price Contracts & Bench Utilization Collapse
* *Mechanism:* Fixed-price project overruns combined with billable resource utilization falling below break-even levels.
* *Policy Mandate:* Underwriters must verify contract structure types (Time & Materials vs. Fixed Price) and track billable bench utilization.

9.7. ACCEPTABLE COLLATERAL & BORROWING BASE 9.7.1. Recognizing that IT Services SMEs operate with asset-light balance sheets lacking real estate, acceptable collateral is restricted to high-quality liquid financial assets and receivables: * Tier-1 Eligible Collateral: First exclusive charge on unencumbered trade receivables under 90 days past due originating from Corporate Class-A/B counterparties (defined as listed enterprise entities or multinationals). * Escrow / TRA Mechanism: Mandatory routing of billing proceeds from key clients into an Ashva Capital-controlled Debt Service Account (DSA) or Escrow account. * Promoter Guarantees: Unconditional, irrevocable Personal Guarantee (PG) from all primary promoters holding >15.0% equity. * Cash Reserves: Cash margin / Fixed Deposit lien equal to a minimum of 2 months' principal + interest obligations held in an Ashva Capital deposit account.

9.7.2. Physical fixed assets (computers, servers, office leases) shall carry an assigned collateral value of INR 0 for LTV and security calculation purposes.

9.8. MANDATORY NUMERIC UNDERWRITING THRESHOLDS An application failing any single threshold listed in Table 9.8 below shall be automatically rejected at screen-level and cannot be processed without an explicit CCO Exception Waiver.

Table 9.8: Mandatory Underwriting Matrix — IT Services | Metric ID | Parameter | Minimum / Maximum Threshold | Underwriting Action on Violation | | :--- | :--- | :--- | :--- | | TH-IT-01 | Single Client Concentration Limit | Maximum 22.5% of T12M Revenue | Mandatory Rejection if top client exceeds threshold. | | TH-IT-02 | Billable Staff Bench Utilization | Minimum 72.0% across T12M average | Outright Decline if utilization < 72.0%. | | TH-IT-03 | Max Permissible DSO | Maximum 85 days | Receivables >80 days excluded from Borrowing Base. | | TH-IT-04 | Minimum Trailing EBITDA Margin | Minimum 11.5% | Reject if margin < 11.5% (indicates poor pricing power). | | TH-IT-05 | Minimum Quick Ratio | Minimum 1.15x | Cash + Receivables (<60 days) / Current Liabilities. |

9.9. DELEGATED AUTHORITY AND NAMED EXCEPTIONS 9.9.1. Standard Sanction Approval: Credit Assessment Officers (CAO) may approve facilities up to INR 15.0 Million provided all parameters in Clause 9.8 are satisfied. 9.9.2. Named Exception Authority: Any deviation from the parameters established in this document (e.g., granting a DSCR of 1.30x instead of the required 1.38x floor, or accepting a client concentration of up to 28.0%) requires the joint written approval of: 1. Aris Thorne, Chief Credit Officer (CCO); and 2. Devika Nair, Head of Enterprise Risk Management.

9.9.3. Under no circumstances may the absolute sector cap of 16.5% (Clause 9.2.1) or the absolute DSO maximum of 85 days (Clause 9.3.1) be waived by any authority lower than the Board Credit Committee.